

August 5, 2026 10:45 AM GMT

Parade Technologies Ltd | Asia Pacific

Demand Remains Resilient into 2H26; OW

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis

↓ Modest shortfall

Financial results versus consensus

↑ Modest revision higher

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 2Q results missed as gross margin slipped 0.1ppt Q/Q to 40.2%, 2.3ppt/0.8ppt below MSe/consensus after an OSAT price hike.
- 3Q revenue guidance implies 3.4–13.8% Q/Q growth on the consumer tech hot season, versus consensus of +8.6% Q/Q.

2Q earnings miss (Exhibit 1): GM fell 0.1ppt Q/Q to 40.2%, 2.3ppt/0.8ppt below MSe/consensus, mainly from the OSAT price hike.

3Q guidance tracking better: 3Q revenue guidance is up 3.4–13.8% Q/Q (consensus +8.6% Q/Q) on the consumer tech hot season. GM of 40–44%, with management expecting sequential improvement as the price hike helps release the cost burden. Opex flat at US\$33–36mn.

Key highlights from today's call:

- **4Q outlook:** TTED share gains and high-speed new products more than offset the NB notebook shortfall in 4Q, likely helping Parade achieve the 2026 revenue target of 5–10% Y/Y.
- **TTED:** Currently sees no competitors. Customer demand is tracking better than expected, with total NB penetration likely to easily surpass 10% as both standard-plus and Windows customers see introduction.
- **ASIC-like business:** Management maintains the view of significant revenue in late 2027, with the 12-channel big chip taping out in 3Q and the 10-channel version to follow.
- **Datacenter redriver:** PCIe Gen 6 and Ethernet redrivers for ACC are under qualification, with customers satisfied with Parade's performance.
- **Auto:** 2026 revenue will be over US\$10mn, with 2027 growing by at least 50% Y/Y.

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Parade Technologies Ltd (4966.TWO, 4966 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	Overweight
Industry View	Attractive
Price target	NT\$818.00
Up/downside to price target (%)	32
Shr price, close (Aug 5, 2026)	NT\$618.00
52-Week Range	NT\$929.00-463.50
Sh out, dil, curr (mn)	78
Mkt cap, curr (mn)	NT\$48,107
Avg daily trading value (mn)	NT\$1,091

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	34.67	30.34	43.14	50.33
EPS (NT\$)§	35.26	34.05	42.38	52.98
Revenue, net (NT\$ mn)	16,531	15,865	18,478	20,064
EBITDA (NT\$ mn)	3,482	2,712	3,803	4,427
P/E	17.1	20.4	14.3	12.3
P/BV	2.1	2.1	1.9	1.8
ROE (%)	12.2	10.7	14.6	15.5
EV/EBITDA	9.9	13.3	9.1	7.4
Div yld (%)	2.9	2.4	3.5	4.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Exhibit 1: 2Q earnings review

P/L Comparison (NT\$ mn)	2Q26 Results								
	2Q25	1Q26	2Q26	Q/Q	Y/Y	Mse	Diff.	Cons.	Diff.
Net sales	4,114	3,990	4,249	7%	3%	4,049	5%	4,253	0%
Gross profit	1,774	1,608	1,708	6%	-4%	1,723	-1%	1,743	-2%
Operating profit	709	540	596	10%	-16%	668	-11%	641	-7%
Pretax profit	777	582	646	11%	-17%	727	-11%	705	-8%
Net profit	702	529	593	12%	-16%	661	-10%	639	-7%
Diluted EPS (NT\$)	8.95	6.77	7.66	13%	-14%	8.46	-9%	8.13	-6%
Key ratios (%)									
Gross margin	43.1%	40.3%	40.2%	-0.1 ppt	-2.9 ppt	42.5%	-2.3 ppt	41.0%	-0.8 ppt
Operating margin	17.2%	13.5%	14.0%	0.5 ppt	-3.2 ppt	16.5%	-2.5 ppt	15.1%	-1.1 ppt
Pretax margin	18.9%	14.6%	15.2%	0.6 ppt	-3.7 ppt	17.9%	-2.8 ppt	16.6%	-1.4 ppt
Net profit margin	17.1%	13.3%	14.0%	0.7 ppt	-3.1 ppt	16.3%	-2.4 ppt	15.0%	-1.1 ppt

Source: Company data, Bloomberg, Morgan Stanley Research estimates

Valuation Methodology and Risks

Parade Technologies Ltd (4966.TWO)

Base case, residual income model. Key assumptions: cost of equity (beta 1.3, risk-free rate 2%, risk premium 6%) of 9.8%, medium-term growth rate of 11.4%, and terminal growth rate of 4.0%.

Risks to Upside

- Faster-than-expected Apple product shipments and spec upgrades
- Faster-than-expected launch of next-gen server platform
- Easing of US tariffs

Risks to Downside

- Slower-than-expected Apple product shipments and spec upgrades
- Intensifying competition in high-speed interface area for converters, switches, and redrivers/retimers
- Slower-than-expected launch of next-gen server platform

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(as of July 31, 2026)

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Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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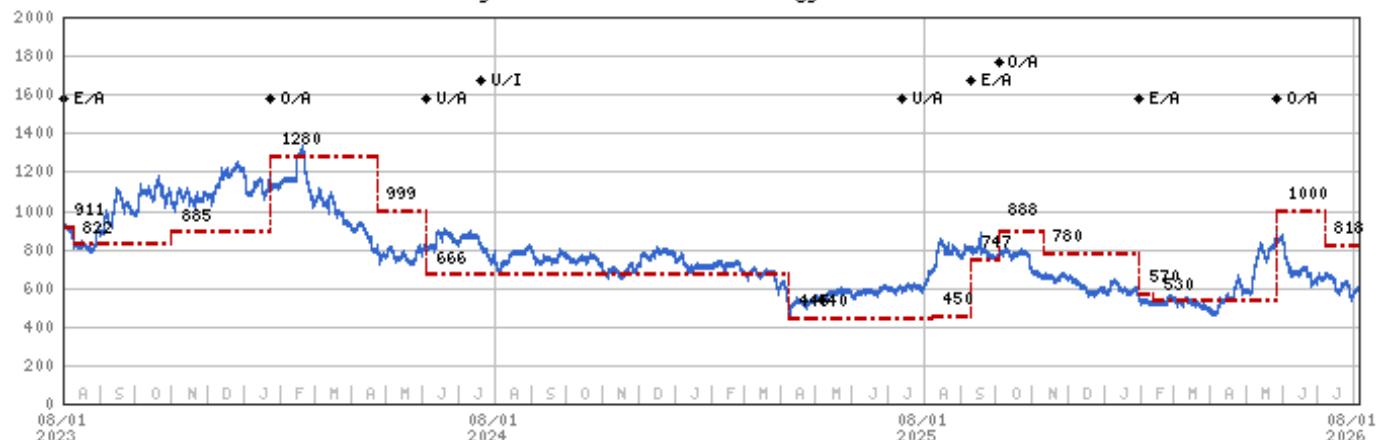
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Parade Technologies Ltd (4966.TWO) - As of 08/05/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 8/1/21 : O/I; 10/12/21 : O/C; 7/12/22 : E/C; 10/4/22 : O/A; 2/22/23 : O/I; 7/7/23 : O/A; 7/21/23 : E/A; 1/23/24 : O/A; 6/4/24 : U/A; 7/21/24 : U/I; 7/14/25 : U/A; 9/10/25 : E/A; 10/3/25 : O/A; 1/30/26 : E/A; 5/27/26 : O/A

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/05/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$82.51
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb358.00
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$124.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,610.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$593.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,136.90
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$4,390.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$872.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$447.50
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$141.50
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$484.20
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$247.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb72.87
MediaTek (2454.TW)	O (11/28/2025)	NT\$4,000.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb726.03
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$445.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb734.20
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb90.83
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$1,845.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb104.02
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$445.00
SMIC (0981.HK)	O (10/21/2025)	HK\$68.00
TSMC (2330.TW)	O (02/07/2022)	NT\$2,405.00
UMC (2303.TW)	O (05/19/2026)	NT\$122.00
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$157.00
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$376.00

Daisy Dai, CFA

ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$165.60
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb58.15
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb92.85
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb30.62
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb288.85
Innoscence (2577.HK)	E (10/13/2025)	HK\$43.90
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb68.97
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$26.80
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb93.52
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb86.33
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb67.20
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb25.96
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb91.01

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$855.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,415.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$16,020.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$99.40
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$160.50
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb110.69
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb385.44
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$117.50
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$270.40
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb212.00
Novatek (3034.TW)	U (02/04/2026)	NT\$550.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$130.00
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$618.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$66.10
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$751.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb53.27
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$169.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$129.00
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$225.00

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb109.92
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb364.92

Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,070.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$600.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$14.18
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,530.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$6,245.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$268.49
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,885.00

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* Historical prices are not split adjusted.